

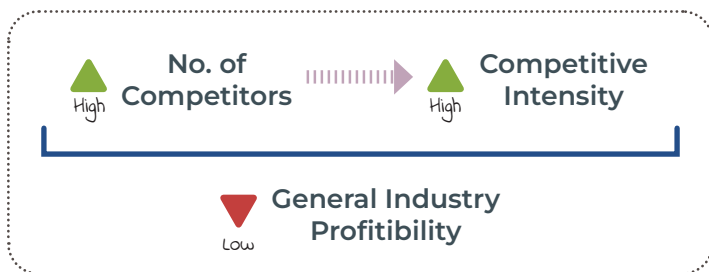
Here are the factors that influence competitive rivalry.

Number of Major Competitors in the Industry

(1, 2, 3..., A few, Many)

The competitive intensity of an industry depends upon the ability of competitors to communicate with each other and work harmoniously.

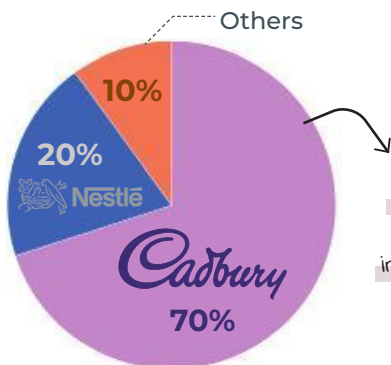
- The higher the number of competitors, the more difficult for the competitors to work in harmony.
- A large number of firms means a large number of different strategies being used, each having the potential to hurt industry profitability.



How Concentrated is the Industry?

(Concentrated/Moderately diluted/very dilute)

Another factor, in line with the number of competitors in the industry, which influences the rivalry, is the concentration of the industry. The way market share is distributed among the competitors has a major impact on their ability to dictate terms and impact competitive rivalry.



If a single firm or a few large firms have a majority market share and they do not indulge in intense rivalry, the remaining firms are merely followers and they will not be able to intensify the competition a lot.